ContexAi GROUP

Economic Vibes — Morning Brief

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Morning Edition · PKT

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KSE-100 V	S&P 500 V	US 10Y / 2Y V	BRENT / WTI V	GOLD V	USD/PKR V
180,105 ▼ 0.11% Thu · -206 pts	**▲ 0.6%** Nasdaq +0.8% · Dow +0.13% — records	**4.66 / 4.16** cooling · Sept hike odds ~40%	**$87.18 / $81.27** eased · Hormuz talks near close	**$4,350** -1.3% · silver $64.29	**277.65** interbank · steady

01 Five Things You Need To Know To Start Your Day

PSX PULLS BACK The **KSE-100** shed 206.60 points (-0.11%) to close at 180,104.61 on Thursday, snapping its two-day rebound as profit-taking hit fertiliser and pharmaceutical counters even as oil & gas exploration and cement names held firm; breadth turned negative with 269 decliners against 197 advancers (29 unchanged) on turnover of 388 million shares (Express Tribune, ARY News). Sentiment: **consolidative**.

WALL STREET RECORD US equities extended their advance Thursday — the **S&P 500** closed at a fresh record near 7,799 (+0.6%), the Nasdaq Composite jumped to 26,803.03 (+0.8%) and the Dow added 69.72 points (+0.13%) to 53,839.99 — after a flat July producer-price print reinforced bets the Fed will hold rates in September (CNBC, Detroit News). Sentiment: **firmer**.

HORMUZ TALKS NEAR CLOSE The US, Iran and Oman are closing in on an interim arrangement to reopen the **Strait of Hormuz**, though Tehran insists the waterway will not fully reopen until Washington agrees to end hostilities, withdraw forces and provide compensation — keeping a residual risk premium in oil markets even as Brent eased to $87.18 and WTI to $81.27 (Washington Post, Al Jazeera). Sentiment: cautiously watchful.

GOLD, SILVER RETREAT Gold slid 1.3% to $4,349.80/oz and silver fell 1.4% to $64.29/oz Thursday as a cooler-than-expected July PPI print eased Treasury yields and softened near-term safe-haven demand, even as both metals remain well above year-ago levels (Kitco). Sentiment: **pullback**.

OPEC+ SEPTEMBER HIKE FINALISED Seven OPEC+ producers — Saudi Arabia, Russia, Iraq, Kuwait, Kazakhstan, Algeria and Oman — finalised a **188,000 bpd** September output increase, completing the rollback of 2023's 1.65 million bpd voluntary cuts, while Saudi Arabia's non-oil private sector (Riyad Bank PMI) held expansionary at 53.1 in July even as export orders fell for a fifth straight month (Iraq Business News, Arab News). Sentiment: supply normalising.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

The **KSE-100** retreated 206.60 points (-0.11%) to close at 180,104.61 on Thursday, giving back part of Wednesday's rebound as fertiliser and pharmaceutical counters saw profit-taking while oil & gas exploration and cement held up; breadth turned negative with 269 decliners against 197 advancers and 29 unchanged on turnover of 388 million shares, led by CNERGY, BOP, KEL and SSGC (**Express Tribune**). The exchange is now closed for an extended weekend around Pakistan's Independence Day, with trading resuming Monday. The **SBP** held its policy rate at 11.5% at its July 27 review for a second straight pause, with July CPI at 9.2% y/y even as food inflation ran hotter at 10.6% (**Business Recorder**). Six-month KIBOR stood at roughly 11.51/11.76% as of August 7 (**SBP**). The interbank **USD/PKR** held broadly steady at 277.65, up a marginal one paisa on the day (**Business Recorder**). On the **IMF** front, an EFF/RSF review mission is due in Islamabad next month, with Pakistan eyeing roughly $1.2bn combined — about $1bn under the EFF and $200m under the climate-focused RSF — with circular debt, structural reforms and privatisation progress the key tests (**ProPakistani**).

B. GCC & Middle East

OPEC+ has finalised a further **188,000 bpd** output increase for September — the alliance's sixth straight monthly hike this year — completing the rollback of the 2023 voluntary cuts, with the eight-nation group next due to meet on September 6 to assess Hormuz-linked risk (**Iraq Business News**). Saudi Arabia's non-oil private sector stayed in solid expansion for a fourth straight month, with the Riyad Bank PMI easing slightly to 53.1 in July from 53.3 in June as domestic demand strengthened even as export orders fell for a fifth consecutive month on high freight costs (**Arab News**, **AGBI**). The **PIF**, chaired by Crown Prince Mohammed bin Salman, has approved its 2026–2030 strategy, pivoting from rapid asset growth toward value creation with tourism, travel and entertainment as priority sectors under **Vision 2030** (**PIF**).

C. Global Intelligence

US equities closed at fresh records Thursday — the S&P 500 rose roughly 0.6% to about 7,799, the Nasdaq Composite jumped 0.8% to 26,803.03 and the Dow added 69.72 points (+0.13%) to 53,839.99 — after a flat July producer-price print reinforced bets the Fed will hold rates in September, with market-implied odds of a hike easing to roughly 40% from about 50% a day earlier (**CNBC**). The **10-year Treasury yield** eased to about 4.66% and the 2-year held near 4.16% on the softer inflation read (**Trading Economics**). **Brent** and **WTI** eased to $87.18 and $81.27 respectively as investors await clarity on a prospective US-Iran-Oman arrangement to reopen the Strait of Hormuz, even as Tehran insists on further concessions before a full reopening (**Washington Post**). Gold and silver pulled back from recent highs, easing 1.3% to $4,349.80/oz and 1.4% to $64.29/oz respectively, as cooling yields reduced near-term safe-haven demand (**Kitco**).

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	**Fifth IMF EFF/RSF review mission** due in Islamabad next month — ~$1bn EFF plus $200m RSF at stake, with circular debt, structural reforms and privatisation progress under scrutiny	Banks, IPPs/Energy, Equities, Sovereign FX	**Wins:** banks and FX reserves if the tranche clears, sovereign risk premium eases. **Loses:** energy consumers facing tariff/circular-debt adjustment conditionality, importers if reform slippage pressures the PKR.
GCC — Saudi Arabia / OPEC+	**OPEC+ finalises 188,000 bpd September hike**, completing the 2023 cuts rollback ahead of a September 6 review; **PIF's 2026–2030 strategy** pivots toward tourism and entertainment	Energy, Sovereign wealth, Tourism/Entertainment, Oil-importer FX	**Wins:** oil-importing economies via incremental supply; Saudi non-oil diversification plays in tourism and leisure. **Loses:** OPEC+ producers' per-barrel fiscal revenue as Brent eases toward $87.
Global — US Federal Reserve	Flat July **producer-price print** pulls September rate-hike odds to roughly 40%, from about 50% a day earlier, even as core price pressure stays firmer than headline	USD, Rates, EM FX (incl. PKR), Equities	**Wins:** rate-sensitive and growth equities, EM currencies including the PKR. **Loses:** US dollar bulls and money-market yield-seekers as hike odds recede further.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.	PIVOT EST.	RESISTANCE EST.
180,036	**180,105**	**180,311**
Thursday's intraday low; deeper support at 179,500 (desk estimate)	Thursday's close	Wednesday's close; a reclaim opens the path to Thursday's intraday high near 181,434

We read Thursday's modest 206-point pullback as consolidation rather than a trend reversal — breadth was negative and fertiliser/pharma saw profit-taking, but oil & gas exploration and cement held firm, and the index remains less than 1% off Wednesday's multi-day high. With the exchange closed for an extended Independence Day weekend, Monday's reopening should take its cues from how the Hormuz talks and September Fed-hike odds evolve over the break. A close back above 180,311 would reopen the path toward Thursday's 181,434 intraday high; a slip below 180,036 would point to a retest of 179,500. Oil & gas exploration, cement and commercial banks are the counters to watch for confirmation on the reopen. All levels are indicative desk estimates, not recommendations.